

Tenet: Consistent Operating History

Buffett tells Berkshire's shareholders that his first financial connection with the Washington Post Company was at age 13. He delivered both the *Washington Post* and the *Times-Herald* on his paper route while his father served in Congress. Buffett likes to remind others that with his dual delivery route, he merged the two papers long before Phil Graham bought the *Times-Herald*.

Obviously Buffett was aware of the newspaper's rich history, and he considered *Newsweek* magazine a predictable business. The Washington Post Company had for years been reporting the stellar performance of its broadcast division, and Buffett quickly learned the value of the company's television stations. Buffett's personal experience with the company and its own successful history led him to believe that the company was a consistent and dependable business performer.

Tenet: Favorable Long-Term Prospects

"The economics of a dominant newspaper," Buffett wrote in 1984, "are excellent, among the very best in the world."³ Take note that Buffett said this almost 30 years ago, a full decade before the Internet's potential was first being realized.

In the early 1980s, there were 1,700 newspapers in the United States and approximately 1,600 operated without any direct competition. The owners of newspapers, Buffett noted, like to believe that the exceptional profits they earn each year are a result of their paper's journalistic quality. The truth is that even a third-rate newspaper can generate adequate profits if it is the only paper in town. Now it's true that a high-quality paper will achieve a higher penetration rate, but even a mediocre paper, he explains, is essential to a community for its bulletin-board appeal. Every business in town, every home seller, and every individual who wants to get a message out to a community needs the circulation of a newspaper to do so. Like Canadian media entrepreneur Lord Thomson, Buffett believed that owning a newspaper was like receiving a royalty on every business in town that wanted to advertise.